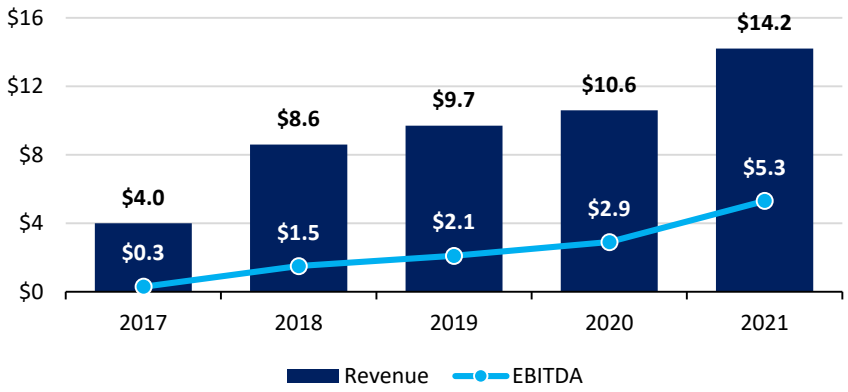
NINTENDO | COMPANY PROFILE

WEBFLIX

Revenue	$14.2B	**Headquarters**	Kyoto, Japan
EBITDA	$5.3B	**Founded**	1889
Equity Value	$66.9B	**# Employees**	6,574
		President	Shuntaro Furukawa

Historical Financials ($ in Billions)



Overview

- **What it does –** Kyoto-based developer, publisher and manufacturer of video games and hardware; one operating segment, with the Nintendo Switch platform generating ~95% of FY2021 net sales
- **Industry position –** One of the world's leading video game companies: 28.8M Switch units and 230.9M software units sold in FY2021, with 77% of sales generated overseas
- **Products –** Switch consoles, first-party games (Animal Crossing, Mario Kart, Ring Fit), digital/online services (Switch Online) and mobile/IP licensing
- **History & reputation –** Founded in 1889 as a playing-card maker; today a global entertainment brand built on Mario, Zelda and Pokémon, with FY2021 net sales +34% and operating profit +82% YoY

Strategic Rationale

- **Strengthen Gaming Capabilities** – Webflix would be able to immediately accelerate its internal video game content capabilities, allowing it to create stronger, "stickier" relationships with its existing customer base while also serving to expand the size of its total addressable market
- **Deepen Penetration in APAC Region**– By acquiring Nintendo, Webflix would be able to bolster its market penetration in the key Asia-Pacific region, for which it generated ~$3.3B (11%) of its 2021 revenue, and where Nintendo already generates ~23% of its sales in Japan alone

Revenue by Geography



Representative Franchise Assets





Source: Nintendo FY2021 (Mar-21) Annual Report. Equity value = year-end P/E × EPS × shares outstanding (ex-treasury) at ¥110/$. Pie: FY2021 net sales by customer location.

NINTENDO | DISCOUNTED CASH FLOW ANALYSIS

WEBFLIX

Implied Enterprise Value & Equity Value from DCF

($ in millions)	2022E	2023E	2024E	2025E	2026E
Revenue	13,600	14,280	14,994	15,744	16,531
% growth	–	5.0%	5.0%	5.0%	5.0%
EBITDA	5,400	5,752	6,125	6,522	6,943
% margin	39.7%	40.3%	40.9%	41.4%	42.0%
Unlevered FCF	3,210	3,386	3,607	3,841	4,090
PV of Unlevered FCF	**2,959**	**2,876**	**2,824**	**2,772**	**2,720**

PV of unlevered FCF (2022E–26E)	14,150
PV of terminal value	55,409
Implied enterprise value	**69,559**
Plus: cash	9,200
Less: debt	(50)
Implied equity value	**78,709**
Shares outstanding (M)	1,000
Implied share price	**$78.71**

Key assumptions: 5.0% revenue growth; EBITDA margin expanding from 39.7% to 42.0%; 40% tax rate; D&A 0.7%, capex 0.5% and NWC 5.0% of revenue; WACC 8.5%; terminal multiple 12.0x 2026E EBITDA (terminal value $83,316M).

Enterprise Value ($ in Millions)

WACC	11.0x	11.5x	12.0x	12.5x	13.0x
7.5%	67,742	70,160	72,579	74,997	77,415
8.0%	66,323	68,686	71,048	73,411	75,774
8.5%	64,941	67,250	**69,559**	71,867	74,176
9.0%	63,596	65,852	68,109	70,365	72,621
9.5%	62,286	64,491	66,697	68,902	71,107

Implied Share Price ($ per Share)

WACC	11.0x	11.5x	12.0x	12.5x	13.0x
7.5%	$76.89	$79.31	$81.73	$84.15	$86.56
8.0%	$75.47	$77.84	$80.20	$82.56	$84.92
8.5%	$74.09	$76.40	**$78.71**	$81.02	$83.33
9.0%	$72.75	$75.00	$77.26	$79.51	$81.77
9.5%	$71.44	$73.64	$75.85	$78.05	$80.26

We believe Nintendo should be valued between $71B-$87B, with a midpoint valuation of $79B